Financial Statements

Renaissance Community Loan Fund, Inc.
Gulfport, Mississippi

Year Ended December 31, 2025
(With Summarized Financial Information
for the Year Ended December 31, 2024)

PILTZ, WILLIAMS, LAROSA & COMPANY

CERTIFIED PUBLIC ACCOUNTANTS
A Professional Association

Renaissance Community Loan Fund, Inc.
Gulfport, Mississippi

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(With Summarized Financial Information
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CERTIFIED PUBLIC ACCOUNTANTS
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Independent Auditors' Report

To the Board of Directors
Renaissance Community Loan Fund, Inc.
Gulfport, Mississippi

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Renaissance Community Loan Fund, Inc. (a nonprofit organization), which comprise the statement of financial position as of December 31, 2025, and the related statements of activities, functional expenses, and cash flows for the year then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the financial position of Renaissance Community Loan Fund, Inc. as of December 31, 2025, and the changes in its net assets and its cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of Renaissance Community Loan Fund, Inc. and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Renaissance Community Loan Fund, Inc.'s ability to continue as a going concern for one year after the date that the financial statements are issued.

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Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Renaissance Community Loan Fund, Inc.'s internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Renaissance Community Loan Fund, Inc.'s ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the financial statements as a whole. The schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards is presented for purposes of additional analysis and is not a required part of the financial statements. The accompanying Schedule of Adjusted Net Worth Computation, required by HUD and described in the Consolidated Audit Guide for audits of HUD Programs, is presented for purposes of additional analysis and is also not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditures of federal awards and the Schedule of Adjusted Net Worth Computation are fairly stated in all material respects in relation to the financial statements as a whole.

Other Information

The accompanying Summary Schedule of Prior Audit Findings has not been subjected to the auditing procedures applied in the audit of the financial statements, and accordingly, we do not express an opinion or provide any assurance on it.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated March 25, 2026, on our consideration of Renaissance Community Loan Fund, Inc.'s internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Renaissance Community Loan Fund, Inc.'s internal control over financial reporting and compliance.

Report on Summarized Comparative Information

We have previously audited Renaissance Community Loan Fund, Inc.'s December 31, 2024 financial statements, and we expressed an unmodified opinion on those audited financial statements in our report dated March 26, 2025. In our opinion, the summarized comparative information presented herein as of and for the year ended December 31, 2024, is consistent, in all material respects, with the audited financial statements from which it has been derived.

Certified Public Accountants

Biloxi, Mississippi
March 25, 2026

Section I

General Purpose Financial Statements

Renaissance Community Loan Fund, Inc.
Statements of Financial Position

Assets	December 31, 2025	2024
Current assets		
Cash	**$ 10,170,960**	$ 7,967,769
Federal Home Loan Bank Stock, at cost	**229,200**	217,800
Grants receivable	**-**	900,000
Prepaid expenses	**79,311**	101,054
Security deposits	**4,189**	4,300
Accounts receivable	**837,340**	1,064,182
Mortgages receivable	**849,169**	532,992
Non-interest bearing residential mortgage loans	**16,352**	16,352
Total current assets	**12,186,521**	10,804,449
Noncurrent assets		
Cash, restricted	**3,466,221**	2,784,971
Due from affiliate, noncurrent	**1,050**	1,050
Notes receivable, beyond one year	**28,790,977**	22,103,519
Mortgages receivable, beyond one year	**38,783,098**	30,736,883
Non-interest bearing residential mortgage loans, beyond one year	**231,691**	248,376
Allowance for credit losses	**(2,541,585)**	(2,487,493)
Property & equipment, net	**1,299,516**	1,334,972
Operating lease right-of-use assets	**82,969**	66,750
Foreclosed assets held for sale	**909,371**	968,177
Total noncurrent assets	**71,023,308**	55,757,205
Total assets	**$ 83,209,829**	$ 66,561,654
Liabilities & Net Assets		
Liabilities		
Current liabilities payable from current assets		
Accounts payable	**$ 98,589**	$ 263,761
Accrued expenses	**490,937**	304,927
Notes payable, amounts due within one year	**4,380,745**	2,482,113
Total current liabilities payable from current assets	**4,970,271**	3,050,801
Current liabilities payable from restricted assets		
Escrows	**657,699**	461,301
Loan payment reserves	**160,198**	45,291
Total current liabilities payable from restricted assets	**817,897**	506,592
Noncurrent liabilities		
Due to FHLB - Small Business Boost	**2,553,406**	2,161,800
Notes payable, amounts due beyond one year	**41,446,962**	29,451,901
Notes payable, equity equivalent investment	**3,400,000**	1,400,000
Operating lease liabilities	**82,969**	66,750
Total noncurrent liabilities	**47,483,337**	33,080,451
Total liabilities	**$ 53,271,505**	$ 36,637,844
Net assets		
Without donor restrictions	**29,896,324**	29,850,310
With donor restrictions	**42,000**	73,500
Total net assets	**29,938,324**	29,923,810
Total liabilities and net assets	**$ 83,209,829**	$ 66,561,654

The accompanying notes are an integral part of the financial statements.

Renaissance Community Loan Fund, Inc.
Statements of Activities

	Year Ended December 31,			
	2025			2024
	Without Donor Restrictions	With Donor Restrictions	Total	
Support and revenue				
Contributions	$ 1,000	$ -	$ 1,000	$ -
Grant revenue	2,043,653	-	2,043,653	1,980,585
Loan fees	712,008		712,008	492,263
Interest income	3,800,316		3,800,316	3,104,658
Miscellaneous Income	4,539		4,539	4,588
Gain on assets	267		267	362
New Market Tax Credit fees	75,000		75,000	119,076
Investment return	11,400		11,400	12,000
Contract revenue	829,058		829,058	223,174
Net assets with restrictions adjustment	31,500	(31,500)	-	-
Total support and revenue	7,508,741	(31,500)	7,477,241	5,936,706
Expenses				
Program services	5,846,881		5,846,881	4,976,606
Supporting services:				
Management and general	1,615,846		1,615,846	768,111
Total expenses	7,462,727	-	7,462,727	5,744,717
Change in net assets	46,014	(31,500)	14,514	191,989
Net assets, beginning of year	29,850,310	73,500	29,923,810	29,731,821
Net assets, end of year	$ 29,896,324	$ 42,000	$ 29,938,324	$29,923,810

Renaissance Community Loan Fund, Inc.
Statement of Functional Expenses
Year Ended December 31, 2025

	Program Services	Support Services: Management & General	Total
Salaries	$ 1,682,107	$ 869,649	$ 2,551,756
Employee benefits	320,080	176,528	496,608
Payroll taxes	131,938	66,529	198,467
Total payroll and related expenses	2,134,125	1,112,706	3,246,831
Advertising	122,710	22,484	145,194
Bad debt expense	71,424	-	71,424
Depreciation	41,631	9,138	50,769
Dues & subscriptions	17,383	4,369	21,752
Food and beverage	15,315	6,591	21,906
Insurance	73,914	15,602	89,516
Interest	1,415,746	31,763	1,447,509
Legal & professional	126,611	106,597	233,208
Loan servicing fees	63,749	30,863	94,612
Office supplies & expense	219,178	35,435	254,613
Passthrough partnership grant expense	1,339,703	43,000	1,382,703
Postage	5,028	1,090	6,118
Printing	15,011	3,208	18,219
Professional development	23,099	4,782	27,881
Property management	-	60,258	60,258
Property taxes	-	20,912	20,912
Rent	40,426	8,874	49,300
Repairs & maintenance	374	39,371	39,745
Supplies	25,239	6,159	31,398
Travel	76,363	33,483	109,846
Utilities	19,852	19,161	39,013
Total functional expenses	$ 5,846,881	$ 1,615,846	$ 7,462,727

The accompanying notes are an integral part of the financial statements.

Renaissance Community Loan Fund, Inc.
Statement of Functional Expenses
Year Ended December 31, 2024

	Program Services	Support Services: Management & General	Total
Salaries	$ 2,070,898	$ 209,863	$ 2,280,761
Employee benefits	394,478	152,577	547,055
Payroll taxes	145,937	33,047	178,984
Total payroll and related expenses	2,611,313	395,487	3,006,800
Advertising	59,554	23,425	82,979
Bad debt recovery	21,626	-	21,626
Depreciation	-	55,987	55,987
Donations/pledges	570	2,000	2,570
Dues & subscriptions	14,528	26,317	40,845
Food and beverage	14,496	7,541	22,037
Housing assistance grants	31,000	-	31,000
Insurance	61,026	30,746	91,772
Interest	1,000,287	4,871	1,005,158
Legal & professional	298,822	76,469	375,291
Loan servicing fees	24,586	-	24,586
Office supplies & expense	144,248	39,181	183,429
Passthrough partnership grant expense	489,585	-	489,585
Postage	3,174	3,560	6,734
Printing	10,663	4,253	14,916
Professional development	8,100	4,806	12,906
Property management	-	20,516	20,516
Property taxes	14,061	6,042	20,103
Rent	31,589	6,900	38,489
Repairs & maintenance	24,328	9,696	34,024
Supplies	16,669	13,530	30,199
Travel	70,696	26,310	97,006
Utilities	25,685	10,474	36,159
Total functional expenses	$ 4,976,606	$ 768,111	$ 5,744,717

The accompanying notes are an integral part of the financial statements.

Renaissance Community Loan Fund, Inc.
Statements of Cash Flows

	Year Ended December 31,	
	2025	2024
Cash flows from operating activities		
Change in net assets	**$ 14,514**	$ 191,989
Adjustments to reconcile change in net assets to net cash provided by operating activities:		
Provision for credit losses	**54,093**	(3,487)
Depreciation	**50,769**	55,987
Amortization	**62,042**	48,038
(Gain)/loss on sale of assets	**(267)**	(362)
Changes in assets and liabilities:		
Grants receivable	**900,000**	(900,000)
Due from affiliate	**-**	450
Accounts receivable	**226,842**	(794,205)
Prepaid expenses	**21,743**	(23,063)
Accounts payable	**(165,172)**	144,641
Accrued expenses	**186,010**	103,843
Escrows	**196,398**	39,811
Loan payment reserves	**114,907**	(35,337)
Due to FHLB - Small Business Boost	**391,606**	433,144
Net cash provided by (used in) operating activities	**2,053,485**	(738,551)
Cash flows from investing activities		
Receipts from mortgages receivable	**5,200,225**	7,257,003
Mortgages received	**(13,488,318)**	(6,032,377)
Payments on notes receivable	**2,031,202**	1,788,019
Notes received	**(8,854,745)**	(7,137,316)
Proceeds from sale of foreclosed assets	**137,653**	207,000
Purchase of property and equipment	**(15,313)**	(72,085)
Investments, purchased	**(11,400)**	(12,000)
Net cash provided by (used in) investing activities	**(15,000,696)**	(4,001,756)
Cash flows from financing activities		
Issuance of long-term debt	**18,785,089**	5,114,170
Repayments of long-term debt	**(2,789,790)**	(1,432,806)
Amortization of debt issuance costs and discounts	**(101,605)**	18,992
Principal payments on lease liabilities	**(62,042)**	(48,038)
Net cash provided by (used in) financing activities	**15,831,652**	3,652,318
Net increase (decrease) in cash	**2,884,441**	(1,087,989)
Cash, beginning of year	**10,752,740**	11,840,729
Cash, end of year	**$ 13,637,181**	$ 10,752,740
Supplemental disclosure of cash flows information:		
Cash	**10,170,960**	7,967,769
Cash, restricted	**3,466,221**	2,784,971
	$ 13,637,181	$ 10,752,740
Cash paid during the year for interest	**$ 1,447,509**	$ 1,005,158

The accompanying notes are an integral part of the financial statements.

Note 1 – Description of Organization and Significant Accounting Policies

The organization - The Renaissance Community Loan Fund, Inc., (the Corporation) was incorporated on November 20, 2006, as a non-profit organization. It was established to serve as the capstone organization in the rebuilding of the Mississippi Gulf Coast by removing obstacles to the redevelopment, creating partnerships, and stimulating investment in order to create vibrant, diverse, sustainable communities that offer residents the highest quality of life. Its current mission is to provide support through technical and financial assistance to facilitate the development of communities which provide safe, quality housing for the workforce and special need residents of the Mississippi Gulf Coast and economic opportunities that will add/retain jobs in the community or that create entrepreneurial opportunities.

In February 2018, Renaissance Investments, LLC (Investments), a Mississippi Limited Liability Company, was formed with Renaissance Community Loan Fund, Inc. as its sole member. The accounts of Investments are included in the December 31, 2025 and 2024 financial statements of the Corporation. Any intercompany balances have been eliminated.

Basis of accounting - The Corporation presents its financial statements using the accrual basis of accounting in accordance with generally accepted accounting principles. Accordingly, revenue and the related assets are recognized when earned and expenses are recognized when the obligations occur.

Basis of presentation - The Corporation is required to report information regarding its financial position and activities according to two classes of net assets: net assets with donor restrictions and net assets without donor restrictions.

Cash equivalents - The Corporation considers all highly liquid investments, except those held for long-term investment, with maturities of three months or less when purchased to be cash equivalents.

Federal Home Loan Bank stock - The Corporation is a member of the Federal Home Loan Bank of Dallas ("FHLB") and as such is required to maintain a minimum investment in its stock that varies with the level of FHLB advances outstanding. The stock is bought from and sold to the FHLB based on its $100 par value. The stock does not have a readily determinable fair value and as such is classified as restricted stock, carried at cost and evaluated for impairment in accordance with GAAP.

Investments - Investments purchased by the Corporation are initially recorded at their cost. Investments held at the end of the reporting period are valued at their fair value and a corresponding unrealized gain or loss is recorded.

Mortgages and notes receivable - Non-interest bearing mortgages receivable are stated at the amount of unpaid principal. Other mortgages and notes receivable are carried at unpaid principal balances. Interest on loans is recognized over the term of the loan and is calculated using the simple-interest method on principal amounts outstanding.

Loans are considered impaired if full principal or interest payments are not anticipated in accordance with the contractual terms. The Corporation's practice is to charge off any loan or portion of a loan when the loan is determined by management to be uncollectible due to the borrower's failure to meet repayment terms, the borrower's deteriorating or deteriorated financial condition, the depreciation of the underlying collateral, or for other reasons.

Loans are placed on nonaccrual when management believes, after considering economic conditions, business conditions, and collection efforts that the loans are impaired, or collection of interest is doubtful. Uncollected interest previously accrued is reversed by a charge to interest income. Interest income on nonaccrual loans is recognized only to the extent cash payments are received. After principal due was brought current, management will return the note to accrual status if it determines that there is a strong likelihood that the borrower will be able to make consistent monthly payments and collateral value is maintained.

Allowance for Credit Losses, Loans – The Corporation reports the allowance for credit losses according to Accounting Standards Update (ASU) 2016-13, *Financial Instruments-Credit Losses (Topic 326): Measurement of Credit Losses on Financial Instruments* using the current expected credit loss (CECL) methodology. The allowance for credit losses is a valuation account that is deducted from the loans' amortized cost basis to present the net amount expected to be collected on the loans. Loans are charged off against the allowance when management believes the uncollectibility of a loan balance is confirmed. Expected recoveries do not exceed the aggregate of amounts previously charged-off and expected to be charged-off. Accrued interest receivable is excluded from the estimate of credit losses.

The allowance for credit losses represents management's estimate of lifetime credit losses inherent in loans as of the statement of financial position date. The allowance for credit losses is estimated by management using relevant available information, from both internal and external sources, relating to past events, current conditions, and reasonable and supportable forecasts.

Management employs a process and methodology to estimate the allowance for credit losses (ACL) on loans that evaluates both quantitative and qualitative factors. The methodology involves pooling loans into portfolio segments for loans that share similar risk characteristics. Pooled loan portfolio segments include mortgages receivable (traditional mortgage loans, temporary housing unit loans, home improvement loans) and commercial notes receivable (small business development notes and commercial notes).

The Corporation measures expected credit losses for loans on a pooled basis when similar risk characteristics exist. The Corporation has identified the following portfolio segments and calculates the allowance for credit losses using the Loss-rate methodology to estimate credit losses over the expected life of the loan. The life of the loan excludes expected extension, renewals and modifications, unless the extension or renewal options are included in the original or modified contract terms and not unconditionally cancellable by the Corporation. The risks applicable to each segment are described as follows:

Mortgages receivable: This loan portfolio consists of residential loans for single and multifamily properties. Mortgage loans are generally secured by owner occupied 1-4 family residences. Repayment of these loans is primarily dependent on the personal income and credit rating of the borrowers. Credit risk in these loans can be impacted by economic conditions within the Corporation's market areas that might impact either property values or a borrower's personal income. Risk is mitigated by the fact that the loans are of smaller individual amounts and spread over a large number of borrowers.

Commercial notes receivable: The commercial portfolio includes loans to commercial customers for use in financing working capital needs, equipment purchases and expansions. The loans in this category are repaid primarily from the cash flow of a borrower's principal business operation. Credit risk in these loans is driven by creditworthiness of a borrower and the economic conditions that impact the cash flow stability from business operations.

Quantitative loss factors are also supplemented by certain qualitative risk factors reflecting management's view of how losses may vary from those represented by quantitative loss rates. These qualitative risk factors include: 1) trends in the nature and volume of financial assets 2) existence and effect of any concentrations of credit 3) volume and severity of past due financial assets 4) changes in the value of underlying collateral 5) changes in lending strategies – policies & procedures 6) quality of credit review function 7) experience, ability, and depth of lending staff 8) external factors – competition, technology, natural disasters 9) changes to the general market condition of the local area 10) changes to local business conditions. Qualitative loss factors are applied to each portfolio segment.

Because the methodology is based upon historical experience and trends, current economic data, reasonable and supportable forecasts, as well as management's judgement, factors may arise that result in different estimations. Deteriorating conditions or assumptions could lead to further increases in the ACL on loans, conversely improving conditions or assumptions could lead to further reductions in the ACL on loans. The ACL on loans is an estimate, and ultimate losses may vary from management's estimate. See Note 4 for further discussion regarding the allowance for credit losses on loans.

Property and equipment - It is the Corporation's policy to capitalize property and equipment over $2,500 with the exception of computer equipment. Lesser amounts are expensed. Property and equipment are recorded at cost. Donations of property and equipment are recorded at their estimated fair value. Such donations are reported as contributions without donor restrictions unless the donor has restricted the donated asset to a specific purpose. Property and equipment are depreciated over their estimated useful lives using the straight-line method.

Fair value measurements - The FASB Codification establishes a framework for measuring fair value. That framework provides a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurements) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy are as follows:

***Level 1* - **Inputs to the valuation methodology are unadjusted quoted prices for identical assets or liabilities in active markets that the Corporation has the ability to access.

***Level 2* -** Inputs to the valuation methodology include:

- quoted prices for similar assets or liabilities in active markets;
- quoted prices for identical or similar assets or liabilities in inactive markets;
- inputs other than quoted prices that are observable for the asset or liability;
- inputs that are derived principally from or corroborated by observable market data by correlation or other means.

If the asset or liability has a specified (contractual) term, the level 2 input must be observable for substantially the full term of the asset or liability.

***Level 3* -** Inputs to the valuation methodology are unobservable and significant to the fair value measurement.

The asset or liability's fair value measurement level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. Valuation techniques used need to maximize the use of observable inputs and minimize the use of unobservable inputs.

Income taxes - The Corporation is a not-for-profit organization that is exempt from federal income taxes under Section 501(c)(3) of the Internal Revenue Code and classified by the Internal Revenue Service as other than a private foundation. Similar provisions under the Mississippi Code allow exemption of state income taxes.

Estimates - The preparation of financial statements in conformity with U.S. generally accepted accounting principles requires management to make estimates and assumptions that affect certain reported amounts and disclosures. Accordingly, actual results could differ from those estimates.

Advertising costs - The Corporation uses advertising to promote its programs among the audiences it serves. Advertising costs are expensed when incurred.

Contributions - Contributions received are recorded as net assets with donor restrictions or net assets without donor restrictions depending on the existence or nature of any donor restrictions.

Contributed services - No amounts have been reflected in the financial statements for donated services. The Corporation generally pays for services requiring specific expertise. However, when received, contributed services are recognized at fair value if the services (a) create or enhance long lived assets or (b) require specialized skills, are provided by individuals possessing those skills, and would typically be purchased if not provided by donation. Any amounts reflected in the financial statements as in-kind contributions would be offset by like amounts in expenses.

Revenue from Contracts with Customers - The Corporation records revenue from contracts with customers in accordance with ASU 2014-09, Revenue from Contracts with Customers (Topic 606). Under Topic 606, the Corporation must identify the contract with a customer, identify the performance obligations in the contract, determine the transaction price, allocate the transaction price to the performance obligations in the contract, and recognize revenue when, or as, the Corporation satisfies a performance obligation. Significant revenue has not been recognized in the current reporting period that results from performance obligations satisfied in previous periods. A primary sources of revenue for the Corporation, interest earned on loans, is not within the scope of Topic 606. The Corporation has evaluated the nature of its contracts with customers and determined that further disaggregation of revenue from contracts with customers into more granular categories beyond what is presented in the Statement of Financial Position is not necessary. The Corporation generally fully satisfies its performance obligations on its contracts with customers as services are rendered and the transaction prices are fixed; the Corporation has made no significant judgments in applying the revenue guidance prescribed in ASC 606 that affect the determination of the amount and timing of revenue from contracts with customers.

Cost allocation - The financial statements report certain categories of expenses that are attributable to more than one program or supporting function. Therefore, these expenses require allocation on a reasonable basis that is consistently applied. These expenses are allocated on the basis of estimates of time and effort.

Leases - The Corporation leases space in Tupelo, MS, Hattiesburg, MS, and Mobile, AL, as operating leases. The Corporation also leases copiers and a postage machine under operating leases. In accordance with ASU 2016-02, *Leases*, for operating leases other than those considered short-term, we recognize lease right-of-use assets and related lease liabilities. We do not recognize short-term operating leases on our balance sheet. A short-term operating lease has an original term of 12 months or less and does not have a purchase option that is likely to be exercised.

The recognition of right-of-use assets and related lease liabilities is based on such amounts readily determinable under our lease contracts. Lease payments over the expected term are discounted using our incremental borrowing rate. We also consider renewal and termination options in the determination of the term of the lease. If it is reasonably certain that a renewal or termination option will be exercised, the effects of such options are included in the determination of the expected lease term. Generally, we cannot be reasonably certain whether or not we will renew a lease until the lease is within the last year of the lease term. Renewal options are evaluated on a case-by-case basis, and when we are reasonably certain that a renewal option will be exercised, we measure/remeasure the right-of-use asset and related lease liability using the lease payments specified for the renewal period or, if such amounts are unspecified, we generally assume an increase (evaluated on a case-by-case basis in light of prevailing market conditions) in the lease payment over the final period of the existing lease term.

Adoption of Accounting Standards – There were no adoptions of new accounting standards in 2025 or 2024.

Reclassifications - Certain reclassifications have been made to prior year financial statements to conform to classifications used in the current year. These reclassifications had no impact on net assets previously reported.

Note 2 – Concentration of Credit Risk

The Corporation maintains cash balances at various financial institutions. These accounts do not exceed the federal insurance limit of $250,000.

Note 3 – Grants Receivable

The following is a summary of grants receivable at:

	December 31,	
	2025	2024
Community Development Financial Institutions Award	**$ -**	$ 900,000
Totals	**$ -**	$ 900,000

Note 4 –Mortgage and Note Receivables

The MyHome MyCoast program was launched in April 2009 by the Renaissance Community Loan Fund, Inc. as a perpetual fund to assist thousands of residents and potential residents of Mississippi's six coastal counties. The long-term, stimulus-style housing program will provide homeownership opportunities to private individuals, focusing on those who have been negatively impacted by the devastation of Hurricane Katrina and/or the recent national credit crisis. Through its initial goal to bridge the gap in affordable workforce housing in the area, MyHome MyCoast also provides many benefits to South Mississippi, including stimulating the private real estate market.

The program leveraged local lenders' mortgages and offered a zero-percent interest on a second mortgage funded by Community Development Block Grant funds. The mortgages, which are 30-year, fixed-rate, have a loan-to-value position of 40 - 60 percent, with a graduating scale based upon household area median income (AMI). The program provided flexibility in lending as the local financial lenders were not burdened with selling loans in the secondary mortgage marketplace. The program included down-payment-assistance grants based on the AMI, ranging from $14,300 to $22,500 forgivable after 5 years if the home is not sold or refinanced during the forgiveness period and up to $3,500 that could be used to cover closing costs. This closing cost assistance is forgiven when the loan closes. During the years ended December 31, 2025 and 2024, the Corporation did not extend any amount in zero-percent interest mortgages, down-payment-assistance, or forgiven closing costs. However, it does continue to collect on those mortgages not previously sold. All of the mortgages receivable are secured by the homes sold. The balance of non-interest bearing residential mortgage loans was $248,043 and $264,728 at December 31, 2025 and 2024, respectively.

The Neighbor Works program was launched in 2017 to provide $10,500 in down payment assistance to qualified applicants. This loan is available to applicants at or below 100% AMI for the county in which the home will be purchased. The funds are secured as a subordinate lien on the home which is deferred for the life of ownership. The loan is called due upon sale or when the borrower no longer occupies the home as his/her primary residence. This is a non-interest bearing loan.

Interest on loans is recognized over the term of the loan and is calculated using the simple-interest method on principal amounts outstanding.

The components of notes and mortgages receivable are as follows:

	December 31, 2025	December 31, 2024
Small business development notes	**$ 2,105,176**	1,970,817
Commercial notes	**26,685,801**	20,132,702
Total notes receivable	**$ 28,790,977**	$ 22,103,519
Traditional mortgage loans	**$ 39,098,987**	$ 30,717,911
Non interest bearing mortgages loans	**248,043**	264,728
Temporary housing unit loans	**25,838**	33,849
Home Improvement Loans	**507,442**	518,115
Total mortgages receivable	**$ 39,880,310**	$ 31,534,603

The following table summarizes by portfolio segment the Corporation's loans classified as past due in excess of 30 days or more in addition to those loans classified as non-accrual:

December 31, 2025	30-89 Days Past Due	90 or More Days Past Due - Still Accruing	Non-Accrual	Total Past Due	Current	Total Loans
Mortgages	**$ 2,594,519**	**$ -**	**$ 2,722,595**	**$ 5,317,114**	**$ 34,563,196**	**$ 39,880,310**
Commercial notes	**24,370**	**-**	**94,457**	**118,827**	**28,672,149**	**28,790,976**
Total	**2,618,889**	**-**	**2,817,052**	**5,435,941**	**63,235,345**	**68,671,286**

December 31, 2024	30-89 Days Past Due	90 or More Days Past Due - Still Accruing	Non-Accrual	Total Past Due	Current	Total Loans
Mortgages	$ 3,302,803	$ -	$ 478,665	$ 3,781,468	$ 27,753,135	$ 31,534,603
Commercial notes	634,604	-	321,573	956,177	21,147,342	22,103,519
Total	$ 3,937,407	$ -	$ 800,238	$ 4,737,645	$ 48,900,477	$ 53,638,122

The following table summarizes the Corporation's nonaccrual loans by portfolio segment for the years ended December 31, 2025 and 2024:

	CECL December 31, 2025		
	Nonaccrual Loans with no Allowance	Nonaccrual Loans with an Allowance	Total Nonaccrual Loans
Mortgages	$ 1,107,939	$ 1,614,656	$ 2,722,595
Commercial notes	-	94,457	94,457
Total	$ 1,107,939	$ 1,709,113	$ 2,817,052

	CECL December 31, 2024		
	Nonaccrual Loans with No Allowance	Nonaccrual Loans with an Allowance	Total Nonaccrual Loans
Mortgages	$ -	$ 478,665	$ 478,665
Commercial notes	-	321,573	321,573
Total	$ -	$ 800,238	$ 800,238

The gross interest income that would have been recorded in the year, if the nonaccrual loans at December 31, 2025 and 2024, had been current in accordance with their original terms and had been outstanding throughout the year or since origination, if held for part of the years ended for December 31, 2025 and 2024, was $54,832 and $19,045, respectively.

The following tables summarize the activity related to the allowance for credit losses by portfolio segment for the years ended December 31, 2025 and 2024, under the CECL methodology :

Year Ended December 31, 2025	Beginning Balance	Charge Offs	Recoveries	Provision/ (Credit) for Credit Losses	Ending Balance
Mortgages	**$ 1,423,181**	**$ (31,500)**	**$ 35,471**	**$ 187,504**	**$ 1,614,656**
Commercial notes	**1,064,312**	**(22,002)**	**700**	**(116,081)**	**926,929**
Total	**$ 2,487,493**	**$ (53,502)**	**$ 36,171**	**$ 71,423**	**$ 2,541,585**

Year Ended December 31, 2024	Beginning Balance	Charge Offs	Recoveries	Provision/ (Credit) for Credit Losses	Ending Balance
Mortgages	$ 1,427,503	$ (25,240)	$ 27,009	$ (6,091)	$ 1,423,181
Commercial notes	1,056,503	(20,308)	400	27,717	1,064,312
Total	$ 2,484,006	$ (45,548)	$ 27,409	$ 21,626	$ 2,487,493

Note 5 – Property and Equipment
The following is a summary of property and equipment at:

	December 31,	
	2025	2024
Furniture and fixtures	**$ 389,699**	$ 378,886
Land	**286,861**	286,861
Building	**1,164,894**	1,160,394
Less accumulated depreciation	**541,938**	491,169
Totals	**$ 1,299,516**	$ 1,334,972

Note 6 – Foreclosed Assets Held for Sale
At December 31, 2025 and 2024, the Corporation had residential real estate properties acquired through foreclosure with a carrying amount of $909,371 and $968,177, respectively. That amount includes all properties for which physical possession had been obtained, either through (a) legal title obtained upon completion of foreclosure proceedings, or (b) conveyance by the borrower in satisfaction of a loan through completion of a deed in lieu of foreclosure or another similar legal agreement.

Note 7 – Notes Payable

A summary of notes payable as of December 31, 2025, is as follows:

SBA Microloan, originated in June 2017 in the amount of $500,000; interest at 0.625% per annum; for 10 years with the final payment on 06/14/2027; secured by SBA bank accounts and Microloan borrower notes	**85,254**
Religious Communities Investment Fund, originated in March 2016 in the amount of $200,000; renewed in March 2021 at $250,000; interest at 3.0% per annum, for 5 years with a balloon payment on March 1, 2026; unsecured; quarterly interest only payments	**250,000**
Adrian Dominican Sisters, originated in December 2016 in the amount of $100,000; renewed in December 2021; interest at 3.0% per annum, for 5 years with a balloon payment on December 1, 2026; unsecured; quarterly interest only payments	**100,000**
Banc of America Community Development Corporation; originated in July 2018 in the amount of $3,000,000; interest changed to 3.0% per annum in 2021 for remaining term maturing July 19, 2028; secured by specific loan receivables; quarterly interest payments and an annual principal payment beginning July 19, 2021, in the amount of $375,000	**1,125,000**
The First - Building Loan, originated in February 2019 in the amount of $975,000; interest at 4.25% per annum; secured of $6,255; balloon payment on 02/20/2026	**717,320**
CNote, originated on July 25, 2019, in the amount of $363,325 and renewed on February 13, 2022 with a principal amount of $389,597.10; interest is now 3.0% per annum; lender may elect to receive monthly interest payments; renewed August 12, 2024 @ 4.8%; matures 2/12/2027; unsecured	**344,470**
Woodforest, originated in December 2020 in the amount of $1,500,000; interest at 4.27% annum; partially secured with 5-year $750,000 CD at 2.27%; replaced with a line of credit of $4,000,000 in June 2025 @ 6.5% that matures June 6, 2028; partially secured by CDs at WNB	**1,108,975**
Opportunity Finance Network, originated in December 2019 in the amount of $3,000,000; interest at 4.50% per annum; unsecured; quarterly interest payments; 3 annual principal installments of $1,000,000 beginning December 13, 2027; matures December 13, 2029	**3,000,000**
Federal Home Loan Bank, originated in June 2020 in the amount of $3,200,000; interest at 2.154% per annum for 30 years with a balloon payment on 07/01/2040; secured by 1st mortgages; monthly installments of $12,076	**2,763,877**
SBA Microloan, originated in July 2020 in the amount of $300,000; interest at 0% per annum for first 12 months and 0.125% thereafter; for 10 years, matures July 2, 2030; secured by SBA bank accounts; monthly installments of principal and interest in the amount of $1,863.72 beginning July 2021	**102,139**

Grow with Google Fund/Opportunity Finance Network, originated November 2020 in the amount of $2,000,000; interest at 1.0% per annum 1st year and 3.0% each year thereafter; unsecured; interest deferred until June 2021; matures May 31, 2030	**2,000,000**
Adrian Dominican Sisters, originated in June 1, 2021 in the amount of $100,000 with interest at 3.0% per annum; for 5 years with a balloon payment on June 1 2026; unsecured; quarterly interest only payments	**100,000**
CNote, originated January 12, 2021 in the amount of $246,442; interest at 3.8% per annum; lender may elect to receive monthly interest payments; extended until January 12, 2026 and the interest rate increased to 4%; unsecured	**246,442**
CNote, originated April 13, 2021 in the amount of $100,000; interest at 1.5% per annum; quarterly interest only payments; matures April 12, 2026; unsecured	**100,000**
CNote, originated September 30, 2021 in the amount of $1,500,000; interest at 3.0% per annum; quarterly interest only payments; matures March 30, 2024; extended to 9/30/2026 at 4.8%; unsecured	**1,402,905**
The First Term Loan, originated June 1, 2022 in the amount of $3,000,000 with interest at 3.30% per annum; quarterly interest only payments until July 2024; monthly P&I payments commence at $21,223.19; secured by certain mortgage loan receivables; matures June 10, 2027	**2,763,105**
CNote, originated July 24, 2022 in the amount of $1,100,000; monthly interest payment at 3.0% per annum; matures January 24, 2025; extended to July 24, 2027 at 4.8%; unsecured	**760,000**
CNote, originated August 8, 2022 in the amount of $450,000; monthly interest only payments at 2.0%; matures August 7, 2027; may be extended; unsecured	**450,000**
Opportunity Finance Network, originated in June 2023 in the amount of $1,500,000; $1,000,000 paid off an existing loan, and $500,000 was received in new loan proceeds; interest only paid quarterly the first seven years, with $500k annual principal payments on 6/30/2031, 6/30/2032, and 6/30,2033; interest at 3%; unsecured;	**1,500,000**
SBA Microloan, originated in September 2022 in the amount of $750,000; interest at 0% per annum for first 12 months and 1.875% thereafter; for 10 years; matures October 20, 2032; secured by SBA bank accounts; monthly installments of principal and interest in the amount of $7,568.91 beginning November 2023	**582,278**
Appalachian Community Capital Corporation; originated on August 15, 2023, in the amount of $1,000,000 at 2.76%; interest is due quarterly, and it matures on August 15, 2029; unsecured	**1,000,000**

SBA Microloan, originated in August 2023 in the amount of $1,000,000; interest at 2.125% per annum for first 12 months and 2.875% thereafter; for 10 years;matures September 20, 2033; secured by SBA bank accounts; monthly installments of principal and interest in the amount of $10,764.86 beginning September 2024	**866,658**
Federal Home Loan Bank, originated in December 2023 in the amount of $3,015,000; interest only paid monthly at 4.584% per annum for 5 years with a balloon payment on December 7, 2028; secured by 1st mortgages	**3,015,000**
USDA IRP, originated September 2023 in the amount of $1,000,000; interest at 1.0% per annum; quarterly interest only payments till 2026; principal and interest payments begin in 2026; matures September 12, 2053	**377,690**
Bank of America, N.A., originated April 2024 in the amount of $4,000,000; interest at SOFR + 1.11448%; modified in 2025 and is now interest-only through June 2026 and matures June 30, 2030; secured	**2,000,000**
Mississippi Development Authority, originated May 2024 in the amount of $14,733,333; interest at 1% per annum; quarterly interest only payments; matures May 8, 2033; unsecured	**9,394,731**
SBA Microloan, originated September 2024 in the amount of $1,250,000; interest at 1.875% per annum for first 12 months and 2.625% thereafter; for 10 years; secured by SBA bank accounts; monthly installments of principal and interest in the amount of $5,265.52 beginning October 2025 during the draw period; matures September 18, 2034;	**741,706**
Regions Community Development Corporation, originated November 2024 in the amount of $3,000,000;interest at 5.65% per annum; interest only beginning January 2025; matures November 20, 2026 with three annual extensions available to November 20, 2029; unsecured	**3,000,000**
Opportunity Finance Network, originated December 2024 in the amount of $20,000,000; interest TBD; matures June 11, 2054; secured	**-**
The Commercial Bank of Ozark, originated December 2024 in the amount of $500,000 (line of credit), and matures December 17, 2029; interest only and unsecured	**-**
PNC Bank, orginated in January 2025 in the amount of $1,000,000 (convertible line of credit), and matures January 24, 2030; interest-only till conversion; unsecured	**-**
Hancock Whitney Bank, originated in January 2025 in the amount of $5,000,000, and matures January 7, 2034; interest-only during draw period; unsecured	**-**
Citizens National Bank, originated in January 2025 in the amount of $2,000,000, and matures January 16, 2031; interest-only during the draw period; unsecured	**-**
FHLB - Dallas, originated in December 2024 in the amount of $4,400,000, and matures December 17, 2034; interest-only at 3%	**4,400,000**
U.S. Bank, originated in June 2025 in the amount of $2,500,000 (line of credit); interest-only at SOFR +155 bps, matures December 27, 2026	**-**

Hope Enterprise Corporation, originated July 2025 and matures July 16, 2030; interest-only at 3% till 2026, and then principal and interest over the remaining term; unsecured		2,000,000
Debt issue costs		(250,686)
Debt discount		(219,157)
Total notes payable		45,827,707
Less current portion		4,380,745
Notes payable, long-term portion	$	41,446,962

Note payable – Equity equivalent investment ("EQ2") at December 31, 2025:

CDFI Community Investment Fund I, LLC, originated in February 2018 in the amount of $400,000; interest at 3.0% per annum; unsecured; quarterly interest only payments; extended in 2023 and matures March 31, 2028 with all unpaid principal and interest due	$	400,000
US Bancorp Community Development Corporation, originated in July 2019 in the amount of $1,000,000; interest at 3.0% per annum; unsecured; quarterly interest only payments; matures July 25, 2025; renewed at 4.0%; matures July 25, 2031		1,000,000
US Bancorp Community Development Corporation, originated in July 2019 in the amount of $1,000,000; interest at 3.30% per annum; unsecured; quarterly interest only payments; matures December 8, 2029		1,000,000
PNC Community Development Company, LLC, originated December 2024 in the amount of $1,000,000; interest at 3.5% per annum; quarterly interest only payments, matures December 17, 2029		1,000,000
	$	3,400,000

The schedule of maturities of notes payable at December 31, 2025 is as follows:

December 31,		Amount
2026		4,380,745
2027		5,450,854
2028		5,810,485
2029		9,928,968
2030		4,455,455
Thereafter		19,671,043
Total	$	49,697,550

Interest totaled $1,447,509 and $1,005,158, for the years ended December 31, 2025 and 2024, respectively.

The following were components of notes payable at December 31, 2025:

	Beginning 01/01/25	Additions	Repayments	Ending 12/31/2025	Amounts Due Within One Year	Long Term
SBA Microloan, October 2016	$ 21,649	$ -	$ (21,649)	$ -	$ -	$ -
SBA Microloan, June 2017	141,682	-	(56,428)	85,254	56,640	28,614
Religious Comm. Inv. Fund	250,000	-	-	250,000	250,000	-
Adrian Dominican Sisters	100,000	-	-	100,000	100,000	-
CDFI Comm. Inv. Fund I	400,000	-	-	400,000	-	400,000
BACDC	1,500,000	-	(375,000)	1,125,000	375,000	750,000
The First - Building	760,458	-	(43,138)	717,320	717,320	-
US Bancorp CD Corp	1,000,000	-	-	1,000,000	-	1,000,000
CNote, July 25, 2019	389,597	-	(45,127)	344,470	-	344,470
Woodforest (renewed in 2025)	1,176,076	1,108,975	(1,176,076)	1,108,975	-	1,108,975
Opp. Fin. Network, Dec. 2019	3,000,000	-	-	3,000,000	-	3,000,000
FHLB, June 2020	2,848,264	-	(84,387)	2,763,877	86,223	2,677,654
SBA Microloan, July 2020	124,345	-	(22,206)	102,139	22,260	79,879
Google Endeavor LLC/OFN	2,000,000	-	-	2,000,000	-	2,000,000
CNote, Dec 2020	69,953	-	(69,953)	-	-	-
CNote, Dec 2020	100,000	-	(100,000)	-	-	-
Adrian Dominican Sisters	100,000	-	-	100,000	100,000	-
CNote, Jan 2021	246,442	-	-	246,442	246,442	-
CNote, April 2021	100,000	-	-	100,000	100,000	-
CNote, Sept 2021	1,402,905	-	-	1,402,905	1,402,905	-
The Domestic and Foreign Missionary Society - Episcopal Church, May 2022	250,000	- -	(250,000)	-	-	-
The First, June 2022	2,922,447	-	(159,342)	2,763,105	164,745	2,598,360
CNote, July 2022	960,204	-	(200,204)	760,000	-	760,000
CNote, August 2022	450,000	-	-	450,000	-	450,000
SBA Microloan, Sept 2022	660,394	-	(78,116)	582,278	79,200	503,078
Opp. Fin. Network, June 2023	1,500,000	-	-	1,500,000	-	1,500,000
App. Comm. Cap Corp, Aug 2023	1,000,000	-	-	1,000,000	-	1,000,000
SBA Microloan, Aug. 2023	966,529	-	(99,871)	866,658	100,800	765,858
FHLB, December 2023	3,015,000	-	-	3,015,000	-	3,015,000
US Bancorp CD Corp, Dec. 2023	1,000,000	-	-	1,000,000	-	1,000,000
USDA IRP, Nov. 2023	82,690	295,000	-	377,690	33,000	344,690
Bank of America, April 2024	-	2,000,000	-	2,000,000	-	2,000,000
MS Dev Authority, May 2024	4,211,090	5,183,641	-	9,394,731	-	9,394,731
SBA Microloan, Sept 2024	-	750,000	(8,294)	741,706	124,773	616,933
RCDC, Nov. 2024	-	3,000,000	-	3,000,000	-	3,000,000
PNC CDC, December 2024	1,000,000	-	-	1,000,000	-	1,000,000
FHLB - Dallas, December 2024	-	4,400,000	-	4,400,000	-	4,400,000
Hope Enterprise Corp, July 2025	-	2,000,000	-	2,000,000	421,437	1,578,563
Total	33,749,725	18,737,616	(2,789,791)	49,697,550	4,380,745	45,316,805
Less: Debt Issue Cost	(179,943)	30,862	(101,605)	(250,686)	-	(250,686)
Less: Debt Discount - FHLB	(235,768)	16,611	-	(219,157)	-	(219,157)
Total	$ 33,334,014	$ 18,785,089	$ (2,891,396)	$ 49,227,707	$ 4,380,745	$ 44,846,962

Note 8 – Leases
The Organization’s leases have remaining terms ranging from two to three years. Lease payments per the agreements are $5,170 per month; the details of each lease are listed below:

- Gulfport Copier #1 - $430 monthly lease cost/Current lease expires April 2027 (expected to be renewed)
- Gulfport Copier #2 - $292 monthly lease cost/Current lease expires December 2027 (expected to be renewed)
- Gulfport Postage Machine - $61 monthly lease cost/Current lease expires December 2029 (expected to be renewed)
- Hattiesburg Office - $1,175 monthly lease cost/Current lease expires August 2028 (expected to be renewed)
- Tupelo Office - $2,251 monthly lease cost/Current lease expires October 2027 (expected to be renewed)
- Mobile Office - $1,014 monthly lease cost/Current lease expires January 2027 (expected to be renewed)

Lease payments under operating leases applied to our operating lease liability totaled $62,042 and $48,674 during 2025 and 2024, respectively. The following table reconciles future undiscounted lease payments due under non-cancelable operating leases (those amounts subject to recognition) to the aggregate operating lessee lease liability as of December 31, 2025.

During the 2025 and 2024, respectively, the Organization obtained $42,700 and $53,578 in right of use assets from operating lease liabilities.

Maturity analysis of the operating lease liability and reconciliation of the undiscounted cash flows to the total operating lease liability is as follows:

2026	$ 62,673
2027	45,175
2028	6,610
2029	735
Total undiscounted cash flows	115,193
Discount on cash flows	(32,224)
Total operating lease liability included in the accompanying balance sheet	$ 82,969

	December 31,	
	2025	2024
Weighted-average remaining lease term in years	3.37	2.78
Weighted-average discount rate	3.21%	3.10%

Note 9 – Net Assets
The detail of the Corporation's net asset categories is as follows:

	December 31,	
	2025	2024
Without donor restrictions:		
Cash reserves	**$ 3,466,221**	$ 2,784,971
Invested in property, plant, and equipment, net of debt	**582,196**	574,514
Required Federal Home Loan Bank stock investment	**229,200**	217,800
Undesignated	**25,618,707**	26,273,025
Total without donor restrictions	**29,896,324**	29,850,310
With donor restrictions:		
Unexpended grants	**42,000**	73,500
Total with donor restrictions	**42,000**	73,500
Total net assets	**$ 29,938,324**	$ 29,923,810

Note 10 – Liquidity and Availability of Financial Assets
The following reflects the Corporation's financial assets as of the statement of financial position date, reduced by amounts not available for general use because of the asset's nature or contractual restrictions.

	December 31, 2025
Financial assets at year-end	**$ 83,454,318**
Less those unavailable for general expenditures within one year due to:	
Notes and mortgages receivable due in more than one year	**67,805,766**
Restricted Cash	**3,466,221**
Required Federal Home Loan Bank stock investment	**229,200**
Financial assets available to meet cash needs for general expenditures within one year	**$ 11,953,131**

Note 11 – Employee Retirement Plans

The Corporation sponsors a defined contribution retirement plan with Section 401(k) provisions. The plan is available to substantially all of the company's employees. The plan provides for participating employees to make salary reduction (elective deferral) contributions from their compensation into the plan with the Corporation making a discretionary matching employer contribution. The Corporation made discretionary matching employer contributions for the years ended December 31, 2025 and 2024 in the amounts of $26,748 and $43,050, respectively.

Note 12 – Contingencies

The Corporation is involved in various legal matters arising during the normal course of business. Management, after consulting legal counsel, is of the opinion that the ultimate resolution of these matters will not have a material adverse effect on the financial condition of the Corporation.

Note 13 – Related Party Transactions

In May of 2019, the Corporation funded its 0.01% investment in Renaissance Community Fund Development Entity II, LLC. The primary purpose of which is to act in a manner that will ensure qualification as the Company as a "qualified community development entity" pursuant to and as defined for the purposes of Section 45D of the Code and the Treasury Regulations and Guidance. The investment in this entity is $1,050 as of both years ended December 31, 2025 and 2024.

In October 2025, the Corporation's Chief Financial Officer was elected as a board member for the Opportunity Finance Network (OFN), a non-profit organization. As of December 31, 2025 and 2024, the Corporation owes OFN $6.5 million. See Note 7 regarding terms of loans.

Note 14 – Subsequent Events

Management has evaluated subsequent events through March 25, 2026, the date on which the financial statements were available to be issued.

Section II

Supplemental Information

Renaissance Community Loan Fund, Inc.
Schedule of Expenditures of Federal Awards
Year Ended December 31, 2025

Federal Grantor	Assistance Listing Number	Federal Grant Number	Passed Through to Subrecipients	Federal Expenditures
U.S. Department of the Treasury				
Community Development Financial Institutions - FA	21.020	231FA064343	$ -	$ 900,000
NeighborWorks America				
NeighborWorks America Flexible Impact Grant FY 2025	21.000	R-SUPINT-2025-76578	-	6,500
NeighborWorks America Flexible Impact Grant FY 2025	21.000	G-IMPACTG-2025-76353	-	257,000
NeighborWorks America Supplemental Request Internal FY25	21.000	R-SUPINT-2025-77408	-	50,000
NeighborWorks Week Request FY25	21.000	G-NWW-2025-77692	-	1,000
Total			-	314,500
Small Business Administration				
Microloan Program	59.046	SBAOCAML240553	-	486,034
U.S. Department of Housing and Urban Development				
Capacity Building for Community Development and Affordable Housing Grants	14.169	HC230441002	-	12,480
Capacity Building for Community Development and Affordable Housing Grants	14.169	HC240441003	-	30,712
Total			-	43,192
US Department of Agriculture				
Rural Business Development Grant	10.351	28-024-208181931	-	40,369
Total Expenditures of Federal Awards			$ -	$ 1,784,095

See accompanying notes to schedule of expenditures of federal awards.

Renaissance Community Loan Fund, Inc.
Notes to Schedule of Expenditures of Federal Awards
Year Ended December 31, 2025

Note 1 - Basis of Presentation

The above schedule of expenditures of federal awards (the Schedule) includes the federal grant activity of Renaissance Community Loan Fund, Inc. under programs of the Federal government for the year ended December 31, 2025. The information in this Schedule is presented in accordance with the requirements of Title 2 U.C. *Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the Schedule presents only a selected portion of the operations of Renaissance Community Loan Fund, Inc., it is not intended to and does not present the financial position, changes in net assets, or cash flows of Renaissance Community Loan Fund, Inc.

Note 2 - Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the accrual basis of accounting. Such exepnditures are recognized following the cost principles contained in the Uniform Guidance and/or OMB Circular A0122, *Cost Principles for Non-profit Organizations* , wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Note 3 - Indirect Cost Rate

Renaissance Community Loan Fund, Inc. has elected to use the 10% de minimus indirect cost rate allowed under the Uniform Guidance.

Renaissance Community Loan Fund, Inc.
Schedule of Adjusted Net Worth Computation
Year Ended December 31, 2025

Title II Single Family Program Lenders' Adjusted Net Worth Computation

FHA servicing portfolio* at 12/31/25 *HUD FHA-insured single-family mortgages only. Include HEMCs at maximum claim amount	358,332	(a)
FHA originations - FHA-insured Title II loan originations during the fiscal year	2,643,264	(b)
FHA purchases - FHA-insured Title II third-party originatior purchases during the fiscal year	-	(c)
Total FHA loan activity [(d) = (a)+(b)+(c)].	3,001,596	(d)
FHA-insured Title II loan originations retained at the fiscal year end.	358,332	(e)
FHA-insured Title II third-party originator purchases retained at the end of the fiscal year.	-	(f)
Adjustments [(g) = (e)+(f)].	358,332	(g)
Total adjusted FHA loan activity [(h) = (d)-(g)].	2,643,264	(h)
Net worth required If (h) < $25 million, skip lines (j) and (k) and insert (i) on line (o).	1,000,000	(i)
Additional net worth required If (h) > $25,000,000, then (j) = (h)-($25,000,000*(1%).	-	(j)
Total net worth [(k) = (i)+(j)] If line (k) <$2,500,000, insert line (k) on line (o). If line (k) >$2,500,000, insert $2,500,000 on line (o).	-	(k)
Stockholders' equity (net worth) per balance sheet	29,938,324	(l)
Less unacceptable assets	-	(m)
Adjusted net worth [(n) = (l)-(m)]	29,938,324	(n)
Minimum net worth required	1,000,000	(o)
Adjusted net worth above/(below) required minimum amount [(p) = (n)-(o)]	28,938,324	(p)

Section III

Independent Auditors' Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

PILTZ, WILLIAMS, LAROSA & COMPANY
CERTIFIED PUBLIC ACCOUNTANTS
A Professional Association

Independent Auditors' Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

The Board of Directors
Renaissance Community Loan Fund, Inc.
Gulfport, Mississippi

We have audited in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of Renaissance Community Loan Fund, Inc. (a non-profit organization), which comprise the statement of financial position as of December 31, 2025, and the related statements of activities, functional expenses, and cash flows for the year then ended, and the related notes to the financial statements, and have issued our report there on dated March 25, 2026.

Report on Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered Renaissance Community Loan Fund, Inc.'s internal control over financial reporting (internal control) as a basis for designing procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Renaissance Community Loan Fund, Inc.'s internal control. Accordingly, we do not express an opinion on the effectiveness of the Renaissance Community Loan Fund, Inc.'s internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit, we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

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Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether Renaissance Community Loan Fund, Inc.'s financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statement. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards.*

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the organization's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the organization's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Certified Public Accountants

Biloxi, Mississippi
March 25, 2026

Section IV

Independent Auditors' Report on Compliance for Each Major Program and Major HUD Program and on Internal Control Over Compliance Required by the Uniform Guidance and the *Consolidated Audit Guide for Audits of HUD Programs*

PILTZ, WILLIAMS, LAROSA & COMPANY
CERTIFIED PUBLIC ACCOUNTANTS
A Professional Association

Independent Auditors' Report on Compliance for Each Major Program and Major HUD Program and on Internal Control Over Compliance Required by the Uniform Guidance and the *Consolidated Audit Guide for Audits of HUD Programs*

The Board of Directors
Renaissance Community Loan Fund, Inc.
Gulfport, Mississippi

Report on Compliance for Each Major Federal Program and Major HUD Program

Opinion on Each Major Federal Program

We have audited Renaissance Community Loan Fund, Inc.'s compliance with the types of compliance requirements described in the OMB *Compliance Supplement* and *the Consolidated Audit Guide for Audits of HUD Programs* (the audit guide) that could have a direct and material effect on each of Renaissance Community Loan Fund, Inc.'s major federal programs and its major U.S. Department of Housing and Urban Development (HUD) program for the year ended December 31, 2025. Renaissance Community Loan Fund, Inc.'s major federal program is identified in the Summary of Auditor's Results section of the accompanying Schedule of Findings and Questioned Costs. Renaissance Community Loan Fund, Inc.'s major HUD Program and the related direct and material compliance requirements are as follows:

Name of Major HUD Programs	Direct and Material Compliance Requirements
HUD Title II Program	• Quality Control Plan • Sponsor Responsibilities for Third-Party Originators (not applicable) • Branch Office Operations (not applicable) • Loan Origination • Loan Servicing • Federal Financial and Activity Reports • Lender Annual Recertification, Adjusted Net Worth, Liquidity, and Licensing • Loan Settlements • Escrow Accounts • Kickbacks

In our opinion, Renaissance Community Loan Fund, Inc. complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs and its major HUD program for the year ended December 31, 2025.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 U.S. *Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance) and the audit guide. Our responsibilities under those standards, the Uniform Guidance and the audit guide, are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of Renaissance Community Loan Fund, Inc. and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of Renaissance Community Loan Fund, Inc.'s compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to Renaissance Community Loan Fund, Inc.'s federal and HUD programs.

Auditors' Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on Renaissance Community Loan Fund, Inc.'s compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, the Uniform Guidance, and the audit guide will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about Renaissance Community Loan Fund, Inc.'s compliance with the requirements of each major federal and HUD programs as a whole.

In performing an audit in accordance with GAAS, Government Auditing Standards, the Uniform Guidance, and the audit guide, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding Renaissance Community Loan Fund, Inc.'s compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of Renaissance Community Loan Fund, Inc.'s internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance and the audit guide, but not for the purpose of expressing an opinion on the effectiveness of Renaissance Community Loan Fund, Inc.'s internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal or HUD program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal or HUD program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal or HUD program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

Purpose of Report

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance and the audit guide. Accordingly, this report is not suitable for any other purpose.

Piltz, Williams, LaRosa & Co.
Certified Public Accountants

Biloxi, Mississippi
March 25, 2026

Renaissance Community Loan Fund, Inc.
Schedule of Findings and Questioned Costs
For the Year Ended December 31, 2025

Section 1 – Summary of Auditors' Results

Financial Statements Section

1. An unmodified opinion was issued on the financial statements.

2. There were no significant deficiencies in internal control disclosed by the audit of the financial statements.

3. The audit did not disclose any noncompliance which is material to the basic financial statements.

Federal Awards Section

4. The audit did not disclose any significant deficiencies in internal control over major programs.

5. An unmodified opinion was issued on compliance for major programs.

6. The audit did not disclose any audit findings that are required to be reported under 2 CFR 200.516(a).

7. The program tested as a major program was the Community Development Financial Institutions, CFDA No. 21.020.

8. The dollar threshold for distinguishing Types A and B programs was $1,000,000.

9. The auditee does not qualify as a low-risk auditee.

Section 2 – Findings Relating to the Financial Statements

None

Section 3 – Findings and Questioned Costs for Federal Awards

None

Our audit disclosed no findings that are required to be reported herein under the HUD Consolidated Audit Guide.

Renaissance Community Loan Fund, Inc.
Summary Schedule of Prior Audit Findings
For the Year Ended December 31, 2025

No prior year audit findings related to the financial statements.

No prior audit findings required to be reported under the HUD Consolidated Audit Guide.